GENERAL FUND BUDGET REPORT

FISCAL YEAR 2027

	REVENUES	Legislative Action
1.	Estimated Beginning Balance	$67,294,700
2.	Legislative Revenue Projection	5,816,600,000
3.	H559 - Tax Conformity	(175,000,000)
4.	H967 - Liquor Account Distribution to Project Choice	(1,930,000)
5.	**Total Revenue Projection (2.4% above FY 2026)**	**5,639,670,000**
6.	**TOTAL REVENUES AND ESTIMATED BEGINNING BALANCE (line 1 + 5)**	**$5,706,964,700**
7.	H870 - Transfer to OITS - Unbilled Services	(458,700)
8.	H968 - Budget Stabilization Interest Earnings to GF [1]	-
9.	H968 - Water Pollution Control Fund Interest to GF [1]	-
10.	H968 - Strategic Initiatives State Fund Interest to GF [1]	-
11.	H968 - Strategic Initiatives Local Fund Interest to GF [1]	-
12.	H968 - Strategic Initiatives Local Grant Fund Closeout to GF [1]	-
13.	H968 - Public Education Stabilization Fund Interest to GF [1]	-
14.	H968 - Permanent Building Fund Interest to GF [1]	-
15.	S1332 - In Demand Careers Fund	10,000,000
16.	H968 - Legislative Transfer - 5% Reduction *(Line Item Vetoed)* [2]	425,600
17.	Statutory Transfer from Budget Stabilization Fund *(§57-814 - 15% Cap)* [3]	53,673,800
18.	**Total Transfers In (Out)**	**63,640,700**
19.	**NET REVENUES (line 6 + 18)**	**$5,770,605,400**
	APPROPRIATIONS	
20.	FY 2027 Program Maintenance	5,496,410,500
21.	FY 2027 Enhancements	125,426,600
22.	**FY 2027 Original Appropriations**	**5,621,837,100**
23.	***FY 2027 ESTIMATED ENDING BALANCE (line 19 - 22)***	**$148,768,300**

[1] *If the estimated ending balance is less than $150 million at the end of the fiscal year, H968 directs the Controller's Office to transfer the interest earnings from the indicated funds to the General Fund.*

[2] *The Governor line item vetoed the Permanent Building Fund transfer to the Legilsative Account in H968, Section 1. This may result in a lower transfer back to the General Fund at the end of the fiscal year.*

[3] *The Governor vetoed H975, creating a statutory transfer from the Budget Stabilization Fund to the General Fund because the fund balance exceeds 15% of General Fund revenue in FY 2026. The amount shown is estimated based on revenue projections.*

by the Legislature for that same fiscal year, the board was hereby authorized to transfer certain unencumbered moneys from the Budget Stabilization Fund to the General Fund. Such transfers would be the final accounting adjustment to close the fiscal year and would be limited to the amount of the insufficiency or one-half of one percent (0.5%) of the original General Fund appropriations made for the fiscal year just ending, whichever was less," which meant the Board of Examiners had access to $28,119,702.50 to balance the budget. The contingency provided in **H968** allowed the Governor and the Board of Examiners access of up to an additional $40,505,146.44 from the Twenty-Seventh Payroll Fund if revenues were insufficient to balance the budget at the end of the fiscal year, bringing the total available to $68,624,848.94. The Governor, however, item-vetoed the term "sufficient funds" in **H968**, signaling a preference to not use moneys from the Twenty-Seventh Payroll Fund to balance the budget and instead, might have had to call the Legislature back into an extraordinary session to balance FY 2026. These actions were tracked and documented in LSO's monthly Budget Monitor that could be found at **https://legislature.idaho.gov/lso/bpa/highlights/**.

FY 2027

The FY 2027 General Fund budget was based on a $5.81 billion revenue projection from the Economic Outlook and Revenue Assessment Committee, which was adopted by the Joint Finance-Appropriations Committee. This represented a 2.7% increase from the projection used to finalize the FY 2026 budget. Two pieces of legislation impacted available revenue: H559 reduced revenue by a projected $175,000,000 by conforming with changes to federal Internal Revenue Code from HR1 and using a phased-in approach for business taxes, and H967 redirected liquor distributions away from the General Fund by $1,930,000 to Project Choice for Idaho State Police. In total, projected revenues available for budgeting after accounting for law changes was $5.63 billion.

The $5.62 billion spending blueprint adopted by the Legislature for FY 2027 reflects a $2,103,400 decrease from the FY 2026 original appropriation. The difference between projected revenues and ongoing appropriations is $26,634,000. While appropriations from the General Fund are basically flat compared to FY 2026, budget setting began for most state government General Fund appropriations with a 5% ongoing reduction from the FY 2026 original appropriation. Only Public School Support, some of the Health Education Programs, Medicaid, the Idaho Department of Correction, Idaho State Police, and the Office of the Secretary of State were exempted from the reduced starting point. After that, agencies were provided increases for employer paid health insurance premiums and some agencies received funding for budget enhancement requests. Finally, some specific agency budgets had funding partially restored.

These reductions helped to offset growth in the mandatory programs of Medicaid and the Department of Correction. Even though specific provider rates were decreased in Medicaid, resulting in a $24 million ongoing reduction, population growth resulted in a net General Fund increase of $53.8 million. Similarly, the Department of Correction saw mandatory growth in two programs: County and Out-of-State Placement and Medical Services. For the Department of Correction, the Legislature also passed H556, which increased the per diem rates paid to county jails, but did not fund the estimated $3.1 million impact, which will likely result in a supplemental appropriation request next legislative session.

The Legislature appropriated $2.75 billion for Public School Support from the General Fund, representing a reduction of $4,278,900 from the previous year. The only other recurring increase, aside from Medicaid and the Department of Correction, was for graduate medical education in the Health Education Programs budget. Given the current revenue projection, the Legislature worked to create balance between ongoing revenue and ongoing appropriations for FY 2027. The final budget blueprint included special cash transfers of interest earnings that would increase the ending balance if it fell below $155 million. The Governor vetoed H975, which had the effect of transferring any amount over 15% of General Fund revenue from the Budget Stabilization Fund to the General Fund. If the current revenue projection in FY 2026 came in as forecast, the transfer would be $53.6 million. With the veto of H975, the projected General Fund ending balance was $148,768,300. Other key budget actions for the entire budget, including dedicated funds and federal funds, were included in this report.